PREFERRED EQUITY · $3,904,044

Wylder Hotel Tilghman Island.

*A **$3,904,044 preferred equity investment** in a 58-key waterfront resort in Talbot County, Maryland, accruing at 17.00% with no current-pay obligation and a 10.00% participation in equity value at exit. $10,000,000 of senior debt sits ahead of it; $5,500,000 of common capital, including $2,000,000 of sponsor cash, stands beneath it. Debt and preferred together are 64.97% of as-is value. Projected 1.97x and 31.5% IRR.*

Bradley M. Buzil
SENIOR DIRECTOR · EXCLUSIVE CAPITAL ADVISOR

wylder
TILGHMAN ISLAND

October 30, 2026 · Tilghman Island, MD

Summary of the preferred equity placement.

Marcus & Millichap Capital Corporation is placing **$3,904,044 of preferred equity** in Wylder Hotel Tilghman Island, accruing at 17.00% with no current-pay obligation and a 10.00% participation in equity value at exit. **$10,000,000 of senior debt** sits ahead of it and **$5,500,000 of common capital** stands beneath it, including $2,000,000 of sponsor cash already invested.

COMMITMENT

$3.90M

$67,311 per key · funded at close

ACCRUAL RATE

17.00%

Compounding · no current pay

EXIT PARTICIPATION

10.00%

Of equity value at exit

SENIOR DEBT AHEAD

$10.00M

46.73% of as-is value

DEBT & PREFERRED TO VALUE

64.97%

47.13% of the stabilized estimate

CAPITAL BENEATH

$5.50M

Including $2,000,000 of sponsor cash

LAST-DOLLAR EXPOSURE

$239,725

Per key, on 58 keys

PROJECTED RETURN

1.97x

31.5% IRR · base case, 3-year hold



A 58-key waterfront resort on 8.10 acres, with an adjacent parcel under contract.

Wylder Hotel Tilghman Island sits on Tilghman Island in Talbot County, Maryland, between the Chesapeake Bay and the Choptank River — an 8.10-acre waterfront parcel with 1,100 feet of water frontage, a marina, pool, restaurant and boat bar. Operated under the Wylder Hotels brand, the property is mid-repositioning, with a Small Luxury Hotels affiliation planned for Year 2. The adjacent parcel at 21441 Dogwood Cove — three acres, a four-bedroom residence and 24 boat slips — is under contract and funded in this capitalization; see page 5.

KEYS

50 → 58

57 hotel keys plus the Dogwood Cove residence

SITE

8.10 ac

Expanding to about 11 acres with Dogwood Cove

POSITIONING

Upper Upscale

Select-service resort

LOCATION

Tilghman, MD

Talbot County · Tilghman Island





What the asset comprises.



LOCATION

SITE
8.10 acres · three parcels

WATER FRONTAGE
1,100 feet on the Choptank River

ZONING
Village Mixed · hotel permitted and legally conforming

DRIVE-TO DEMAND
Two hours from Washington and Baltimore

LUXURY BENCHMARK
12 miles from the Inn at Perry Cabin

PARKING
69 surface spaces



ACCOMMODATIONS

IN SERVICE TODAY
50 waterfront rooms

OUT OF SERVICE
4 rooms, restored under the capital plan

ADDED
3 keys from the rebuilt three-bedroom house

ON COMPLETION
57 keys · 58 with Dogwood Cove

MARINA
23 slips today · 24 with the Dogwood Cove acquisition · 47 on completion

COMMERCIAL SPACE
Converting to a wellness studio



FOOD, BEVERAGE AND EVENTS

RESTAURANT
Tickler's Crab Shack · 128 seats, 2,000 SF, seasonal

BALLROOM
2,000 SF

BREAKOUT
Multiple breakout and restaurant spaces

OUTDOOR
Waterfront tent space

BOAT BAR
Converting to add usable event space

TOTAL EVENT SPACE
3,722 SF today · 5,252 SF on completion



AMENITIES

POOL
Heated saltwater

WELLNESS
Panoramic sauna and cold plunge

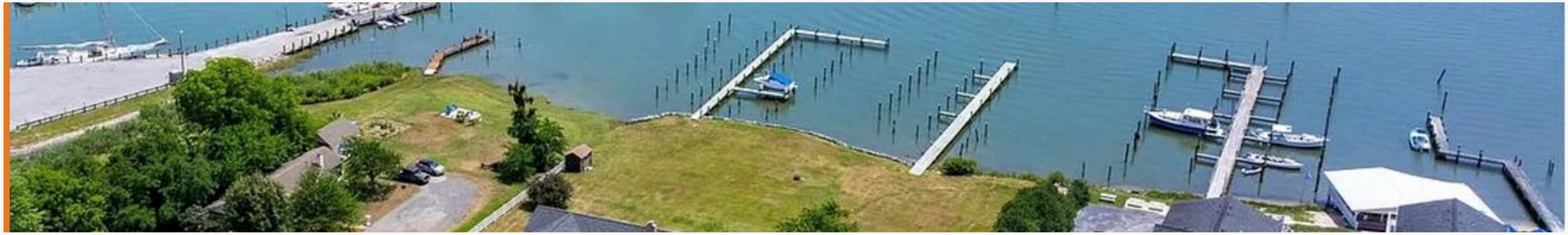
WATER
Watersports from the property

GROUNDS
Bonfire pits, lawn games, rope swing, hammocks

SEATING
Adirondack chairs on the lawn

AMENITY FEE
$40 per room night · **95.9% capture in 2025**

Adjacent acquisition — 21441 Dogwood Cove.



TRANSACTION

Purchase price	$1,100,000
Status	Under contract
Closing date	Nov 18, 2026
Interest conveyed	Fee simple
Deposit	$15,000
Renovation to bring online	$300,000
Total acquisition cost	**$1,400,000**

Acquired by **21551 Tilghman Investors LLC**, the entity that owns the hotel, so the parcel comes into the partnership rather than a separate venture. The parcel closes on November 18, 2026, shortly after the recapitalization.

The parcel sits at 21441 Dogwood Cove, Tilghman, Talbot County, Maryland.

WHAT IT ADDS

Boat slips	24
Land	±3 acres
Residence	4 bedrooms
Keys	1 · whole-home suite
Site on completion	±11.1 acres
Marina slips on completion	**47**

The residence becomes a **whole-home suite**, a product the hotel cannot offer today, and is counted as the 58th key. Its 24 slips take the marina from 23 slips today to 47 on completion.

It is underwritten conservatively — a **$1,500 nightly rate at 35% occupancy**, or $191,625 of annual revenue from stabilization.

WHY IT MATTERS

The parcel was **part of the hotel until it was separated and sold to a third party during a bankruptcy roughly ten years ago**. Acquiring it reassembles the original assemblage and takes the last private parcel between the hotel and its waterfront off the market.

The $1,100,000 purchase is **funded from the capitalization at closing**, with no acquisition debt against the parcel. The $300,000 renovation is funded from the same proceeds.

The estimated values in this package — $21,400,000 as is, $26,000,000 upon completion and $29,500,000 upon stabilization — **are for the hotel and do not include this parcel**. Every basis, coverage and return figure is measured against them, so what the acquisition is worth is upside those numbers do not carry.

Capitalize the EBITDA the parcel itself produces — the marina and room revenue — at 7.0% and it is worth **roughly $4.3 million** against a $1.4 million all-in cost.

ALL-IN COST	EBITDA AT STABILIZATION	AT A 7.0% CAP RATE	VALUE ABOVE COST
$1,400,000	**~$300,000**	**~$4.3M**	**~$2.9M**
Purchase plus renovation	Marina and room revenue from the parcel	Implied value of that EBITDA	In no value estimate in this package

21441 Dogwood Cove Road, in detail.



WHY IT IS AVAILABLE

The parcel was **part of the hotel asset historically**. It was separated and sold to a third party in bankruptcy proceedings about ten years ago. Buying it back reassembles the original assemblage under one owner, which is why a residence, three acres and two dozen slips sit immediately against the hotel and are available at all.

The 24 slips are in good condition and usable from day one, roughly doubling projected slip revenue. None of this value is carried in the estimated hotel values, which are for the hotel alone; the strategic case is on page 5.

THE PURCHASE AND SALE AGREEMENT

Purchase price	$1,100,000
Deposit	$15,000
Closing period under the PSA	45 days
Contemplated closing	November 18, 2026
Buyer and title	**21551 Tilghman Investors LLC · fee simple**

WHAT THE $1,400,000 BUYS

Four-bedroom residence	The 58th key
Land	Approximately 3 acres
Boat slips	24, usable day one
Renovation to bring it online	$300,000
Total all-in cost	**$1,400,000**

WHAT IT EARNS

Residence · average daily rate	$1,500
Residence · occupancy	35%
Residence revenue at stabilization	$191,625
Marina slips after the acquisition	**47**

ALL-IN COST	IMPLIED VALUE	ABOVE COST
$1,400,000	**$4,285,714**	**$2,885,714**
$1,100,000 plus $300,000	*~$300,000 of EBITDA at a 7.0% cap*	*3.1x on cost*

Ownership and operating structure.

The property is owned by **21551 Tilghman Investors LLC**, led by principal **John Flannigan**, and operated under the **Wylder Hotels** brand through affiliate Wylder Eastern Shore Management, LLC — controlling day-to-day operations and the renovation, with a Small Luxury Hotels affiliation planned for Year 2.

OWNERSHIP **21551 Tilghman Investors LLC**	PRINCIPAL **John Flannigan**
OPERATOR / BRAND **Wylder Hotels**	MANAGER **Wylder Eastern Shore Mgmt.**

STRUCTURE AND ALIGNMENT

01 **Owner-operated, no third-party manager** — Day-to-day operations are run by an affiliate of ownership. There is no third-party management agreement to terminate or subordinate, no comfort letter to negotiate and no split incentive between owner and operator.

02 **Continuous ownership since 2017** — The sponsor has owned and operated the hotel under the Wylder brand through the pandemic cycle and the current repositioning, investing a further $642,693 of capital between 2021 and 2025.

03 **Single-asset ownership entity** — 21551 Tilghman Investors LLC holds this property and, on closing, the adjacent Dogwood Cove parcel — and no other operating assets — keeping the collateral and its cash flow ring-fenced.

04 **Two-property brand platform** — Revenue management, distribution, design and procurement are shared across Wylder Hotels in Maryland and New York, giving a 58-key asset reach it could not support standing alone.

Operating statements are produced monthly at the property level and are the basis for the historical figures in this package. Financial reporting, revenue management and the renovation are handled in-house.



Operator background and brand portfolio.

wylder HOTELS

A boutique hotel brand that acquires, renovates and operates resort properties in drive-to leisure markets. Two resorts on the East Coast.

Wylder Tilghman Island
Chesapeake Bay, MD · this asset
50→58 keys
Est. 2017

Wylder Windham
Catskills, NY · ~$27M invested
110 keys
Est. 2022

THE PROOF CASE

Wylder Windham opened in 2022 after roughly $27,000,000 of investment and was named the number one resort in New York State the following year. It is a **Small Luxury Hotels member, the first in the Catskills**, and carries the American Express Fine Hotels & Resorts designation. The affiliation planned at Tilghman Island follows the same path, under the same ownership and the same management company.

RECOGNITION

#8 in the U.S. — Travel + Leisure World's Best, 2023, and a MICHELIN Guide selection (Wylder Windham) · Top 11 in NY & the Mid-Atlantic — Condé Nast Traveler, 2018 (Tilghman Island).



John Flannigan

FOUNDER & CEO · WYLDER HOTELS (JEF MANAGEMENT LLC)

3
DECADES

WYLDER · '16–NOW	**Founder & CEO** — acquired, renovated and opened the Wylder portfolio; leads capital, acquisitions, design and operations.
PROPER · '14–'16	**Chief Operating Officer**, Proper Hospitality — opened Avalon Beverly Hills and Avalon Palm Springs.
JRK · '09–'14	**President**, JRK Hotels — seven-hotel platform; acquired the 472-key Sheraton Nashville Downtown ($47.5M), Oceana Santa Monica & Santa Barbara, Villa Florence SF.
ACE NY · '08–'09	**Opening General Manager** — opened the Ace Hotel New York.
EARLIER	Opening GM of The Roger and Hotel Giraffe (NYC); progressive roles at Wyndham Hotels.

B.S., Hotel, Restaurant & Institutional Management — The Pennsylvania State University (1996). Entrepreneur of the Year, Penn State Hotel & Restaurant Society, 2023.

Business plan and capital improvement program.

CAPITAL IMPROVEMENT PROGRAM — $3.3M · $56,948 / KEY · SEP 2026 – APR 2027

01 Guest room renovation — $1.43M

Full renovation of all 57 guest rooms at $25,000 per key. **Four out-of-service keys are returned and three added in the back house**, taking the hotel from 50 to 57 — 12.3% more sellable inventory that has never produced revenue.

02 Additional revenue sources — $0.85M

The **marina — 23 slips today, 47 with the Dogwood Cove acquisition**, rebuilt for $250,000 — carries almost no operating overhead and contributes roughly **$341,000 a year** of departmental profit at stabilization, on revenue the property has never captured. A reconfigured boat bar and rebuilt three-bedroom house add further sources, and the adjacent Dogwood Cove residence adds a whole-home suite.

03 Brand affiliation — SLH · Yr 2

Operation under the Wylder Hotels brand, with a planned Small Luxury Hotels affiliation in Year 2 distributed through Hilton channels.

Exterior and interior improvements, contingency and professional fees complete the $3,003,000 hotel program. With $300,000 for the Dogwood Cove residence the total capital program is $3,303,000, or $56,948 per key on 58 keys. **The program is funded at close from the capitalization**, together with $300,000 for the Dogwood Cove residence; sources and uses are on page 20.

REVPAR INDEX TO COMP SET

41.4% → 79% at stabilization

$87 today vs. $210 comp set (STR, Dec 2025)

WHAT DRIVES THE PLAN

Rate recovery on 57 renovated rooms	$265 → $415
Seven keys returned to inventory	+12.3% sellable
Marina to 47 slips	$341,332
Dogwood Cove whole-home suite	$191,625
Small Luxury Hotels affiliation	Year 2

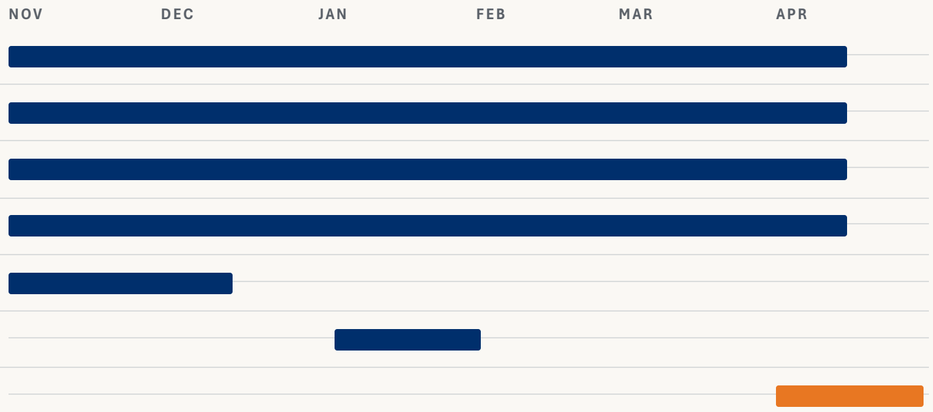
The plan targets a RevPAR index of approximately 79% of this competitive set by stabilization in 2028, **assuming no growth in the underlying market.**

NOI · 2026→2030
2.7x

REVPAR · 2025→2030
$87→$196

The renovation is designed, priced and scheduled.

RENOVATION SCHEDULE · NOVEMBER 2026 TO APRIL 2027



START AND COMPLETION DATES

Rooms renovation	Nov 1, 2026 → Apr 15, 2027
House renovation	Nov 1, 2026 → Apr 15, 2027
Exterior and interior FF&E	Nov 1, 2026 → Apr 15, 2027
Exterior and interior improvements	Nov 1, 2026 → Apr 15, 2027
Marina replacement	Nov 1, 2026 → Dec 15, 2026
Event space upgrade	Jan 4, 2027 → Feb 2, 2027
Punch list to completion	Apr 1, 2027 → Apr 30, 2027

Work begins **November 1, 2026** and completes **April 30, 2027**. The program runs entirely within the low season and completes before the 2027 summer peak — the four months to September carry 72% market occupancy against 40% from November to March.



THE MODEL ROOM IS BUILT

The guest-room specification is complete and can be inspected on site. Finishes, casegoods, lighting, soft goods and bath are installed. The **$25,000 per key** in the budget is priced against a room that exists rather than a drawing, which takes design and specification risk out of the remaining keys and gives the schedule a known unit cost to roll out.

Small Luxury Hotels affiliation and distribution.

WHY THE AFFILIATION MATTERS

HILTON DISTRIBUTION

SLH member hotels are bookable directly through **Hilton.com, the Hilton app and Hilton Honors**. The affiliation places the property inside Hilton's reservation and loyalty system rather than leaving it dependent on direct booking and third-party channels, which is the mechanism behind the projected occupancy and rate gain.

AN ESTABLISHED RELATIONSHIP

The sponsor already operates within SLH. **Wylder Windham, the sister hotel in the Catskills, is an SLH member** and was the first in that market. The application here is an extension of a working relationship rather than a first approach.

AMERICAN EXPRESS FINE HOTELS & RESORTS

Wylder Windham carries the **American Express Fine Hotels & Resorts designation**, reached through the SLH platform. The same designation is the plan at Tilghman Island, adding a high-rate corporate and affluent leisure channel on completion.

Affiliation is targeted on completion of the renovation and remains subject to application, inspection, board approval and an executed brand affiliate agreement.

MEMBERSHIP ECONOMICS

Initial term	4 years
Implementation fee · one time	$4,500
Annual fee · year 1	$13,220
Annual fee · year 2	$20,902
Annual fee · year 3	$33,050
Annual fee · year 4	$33,050
Four-year total	**$100,222**
Full annual fee vs stabilized revenue	0.49%

COMMISSION BY CHANNEL

SLH.com	10%
Voice reservations	10%
GDS	$18 / res
Amex Fine Hotels & Resorts	2% of room rev

Fee schedule is the 2025/2026 rate quoted on 50 rooms; the annual fee steps to roughly $35,136 at 57 rooms. Also payable: 15 barter room nights a year, a £153 monthly database fee, a $2,249 inspection fee every 12 to 18 months, and $665 directory and conference contributions.

Estimated values and underwritten projections.

ESTIMATED AS-IS VALUE

$21,400,000

$368,966 per key

ESTIMATED UPON COMPLETION

$26,000,000

$448,276 per key

ESTIMATED UPON STABILIZATION

$29,500,000

$508,621 per key

Values are stated for underwriting purposes and are subject to completion of the renovation and stabilization of operations. They are for the hotel and **do not include the adjacent Dogwood Cove parcel**, whose value is set out on page 5. Per-key figures on 58 keys — the 57 hotel keys post-renovation plus the Dogwood Cove residence — which understates value per key.

METRIC	2026	2027	2028	2029	2030
Occupancy	33%	38%	**40%**	42%	43%
Average daily rate	$288	$395	**$415**	$435	$455
RevPAR	$96	$150	**$166**	$183	$196
Total revenue	$4.38M	$6.38M	**$7.08M**	$7.60M	$8.04M
Net operating income	$1.13M	$2.32M	**$2.67M**	$2.86M	$3.06M
NOI margin	25.8%	36.3%	**37.7%**	37.6%	38.1%

STABILIZED NOI · 2028

$2,670,611

STABILIZED NOI MARGIN

37.7%

REVPAR · 2028

$166

2026 is the renovation year, with the hotel open on a limited basis; 2027 is the ramp; 2028 through 2030 reflect stabilized operation on 58 keys. Projections per the financial model. Monthly 2026 detail is available in the model.

Pro forma cash flow and underwriting assumptions.

PRO FORMA CASH FLOW	2026	2027	2028	2029	2030
Available room nights	18,250	20,805	20,862	20,805	20,805
Occupied room nights	6,094	7,906	8,345	8,738	8,946
Occupancy	33.0%	38.0%	40.0%	42.0%	43.0%
Average daily rate	$288	$395	$415	$435	$455
RevPAR	$96.00	$150.00	$166.00	$183.00	$196.00
Rooms revenue	$1,755,504	$3,122,830	$3,463,092	$3,801,074	$4,070,498
Other revenue	$2,620,434	$3,259,037	$3,619,032	$3,795,709	$3,968,084
Total revenue	$4,375,938	$6,381,867	**$7,082,124**	$7,596,783	$8,038,582
Operating expenses	($3,246,624)	($4,066,848)	($4,411,513)	($4,738,313)	($4,977,129)
Net operating income	$1,129,314	$2,315,019	**$2,670,611**	$2,858,470	$3,061,453
NOI margin	25.8%	36.3%	37.7%	37.6%	38.1%

UNDERWRITING ASSUMPTIONS	
Keys at stabilization	58 (50 hotel keys today)
Occupancy · 2026 to 2030	33% → 43%
Average daily rate	$288 → $455
RevPAR	$96 → $196
Underlying market growth	None assumed
Hotel capital program	$3,003,000
Dogwood Cove renovation	$300,000
Capital program per key	$56,948
Capital program funding	From the capitalization
Operating expense ratio	74.2% → 61.9%
Replacement reserve	0% → 3.8% of revenue
Dogwood Cove house	$1,500 ADR · 35% occupancy
Brand	Wylder Hotels
Affiliation	SLH · Year 2

Other revenue comprises food and beverage, resort fee, marina slips, the Dogwood Cove house and miscellaneous income. Operating expenses are total departmental, undistributed and fixed costs, including the replacement reserve. Net operating income is stated before the asset management fee. Per the financial model.

The plan assumes no growth in competitive-set rate or occupancy; the entire RevPAR gain is attributed to the renovation, the added keys, the expanded marina and brand affiliation. Competitive-set performance is held flat at its 2025 level throughout.

Stabilized cash flow carried forward, 2030 through 2041.

Dollars in thousands. **2030 is the last year of the pro forma on the preceding pages**; every year after it continues the same line on the same basis — occupancy held at 43.0%, average rate growing 3.0% a year, no assumed growth in the underlying market and the operating margin held at 38.1%. Net operating income is already stated after a 4.0% management fee and a 3.8% replacement reserve; the memo line steps that reserve to 4.0% and coverage is shown on both. Debt service is the $10,000,000 senior loan held flat and interest-only. This page supports the exit: 2030 is the first full year after a sale at the end of year three. Columns may not foot due to rounding.

CALENDAR YEAR	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039	2040	2041
OPERATING STATISTICS												
Occupancy	43.0%	43.0%	43.0%	43.0%	43.0%	43.0%	43.0%	43.0%	43.0%	43.0%	43.0%	43.0%
Average daily rate	$455	$469	$483	$497	$512	$527	$543	$560	$576	$594	$611	$630
RevPAR	$196	$202	$208	$214	$220	$227	$234	$241	$248	$255	$263	$271
REVENUE												
Rooms	4,070	4,193	4,318	4,448	4,581	4,719	4,860	5,006	5,156	5,311	5,470	5,635
Other operated departments	3,968	4,087	4,210	4,336	4,466	4,600	4,738	4,880	5,027	5,177	5,333	5,493
Total revenue	**8,039**	**8,280**	**8,528**	**8,784**	**9,047**	**9,319**	**9,598**	**9,886**	**10,183**	**10,489**	**10,803**	**11,127**
OPERATING RESULT												
Operating expenses	(4,977)	(5,126)	(5,280)	(5,439)	(5,602)	(5,770)	(5,943)	(6,121)	(6,305)	(6,494)	(6,689)	(6,890)
Net operating income	**3,061**	**3,153**	**3,248**	**3,345**	**3,446**	**3,549**	**3,656**	**3,765**	**3,878**	**3,995**	**4,114**	**4,238**
NOI margin	38.1%	38.1%	38.1%	38.1%	38.1%	38.1%	38.1%	38.1%	38.1%	38.1%	38.1%	38.1%
Memo · reserve stepped to 4.0%	(16)	(16)	(17)	(17)	(18)	(18)	(19)	(19)	(20)	(20)	(21)	(22)
Net cash flow at a 4.0% reserve	3,046	3,137	3,231	3,328	3,428	3,531	3,637	3,746	3,858	3,974	4,093	4,216
SENIOR DEBT SERVICE · INTEREST-ONLY												
Debt service	(1,200)	(1,200)	(1,200)	(1,200)	(1,200)	(1,200)	(1,200)	(1,200)	(1,200)	(1,200)	(1,200)	(1,200)
Coverage on net operating income	**2.55x**	**2.63x**	**2.71x**	**2.79x**	**2.87x**	**2.96x**	**3.05x**	**3.14x**	**3.23x**	**3.33x**	**3.43x**	**3.53x**
Coverage at a 4.0% reserve	2.54x	2.61x	2.69x	2.77x	2.86x	2.94x	3.03x	3.12x	3.21x	3.31x	3.41x	3.51x
Debt yield	30.6%	31.5%	32.5%	33.5%	34.5%	35.5%	36.6%	37.6%	38.8%	40.0%	41.1%	42.4%

2.55x
Minimum coverage over the period, in 2030

2.54x
Minimum coverage with the reserve stepped to 4.0%

$27.2M
Aggregate cash flow after debt service, 2031 to 2041

1.38x
Net operating income in 2041 against 2030

Departmental revenue and margins against industry benchmarks.

REVENUE BY DEPARTMENT AT STABILIZATION

DEPARTMENT	$000S	% OF TOTAL	RESORT SEGMENT
Rooms	3,463	48.9%	57.9%
Food and beverage	2,519	35.6%	29.3%
Resort fee, marina and miscellaneous	908	12.8%	12.8%
Dogwood Cove house · 1 key	192	2.7%	–
Total revenue	**7,082**	**100.0%**	**100.0%**

FOOD AND BEVERAGE AGAINST OUTLET COMPARABLES

METRIC	SUBJECT	COMP AVG	COMP RANGE
Restaurant revenue per seat	$14,775	$18,540	$11.8K–$33.8K
Event space revenue per SF	$313	$271	$201–$421
Event revenue per occupied room	$184	$95	$36–$206

REVENUE NOT PRESENT IN ANY HISTORICAL PERIOD

SOURCE	REVENUE	DEPARTMENTAL PROFIT
Expanded marina slips	$359,297	**$341,332**
Seven added keys · 50 → 57	$425,292	**$318,969**
Dogwood Cove house · 1 key	$191,625	**$191,625**
Combined at stabilization	**$976,214**	**$851,926**

The **marina is rebuilt and expanded for $250,000** inside the capital plan and carries almost no operating overhead; the model loads it with a 5% direct cost, leaving **$341,332** of departmental profit at stabilization. Four out-of-service keys returned and three added in the back house lift sellable inventory 12.3%. The **Dogwood Cove house** is underwritten at a $1,500 nightly rate and 35% occupancy as a whole-home suite. Food and beverage is a larger share of revenue than the resort segment because of the crab shack, bar and event space against only 58 keys, but restaurant revenue per seat is 20% below the comparable average and event revenue per occupied room is close to the $180 the property itself achieved in 2025.

MARGINS AGAINST INDUSTRY BENCHMARKS

RATIO TO REVENUE	SUBJECT	RESORT	INDEPENDENT
Departmental profit	**65.7%**	**59.8%**	**58.1%**
Undistributed expenses	23.7%	22.6%	25.1%
Gross operating profit	**42.0%**	**37.2%**	**33.0%**
Administrative and general	6.2%	7.2%	9.1%
Sales and marketing	4.3%	6.2%	6.1%
Utilities	2.8%	2.9%	3.1%
Property operation and maintenance	2.4%	4.1%	4.8%
Management fee	3.8%	3.7%	2.7%
Replacement reserve	2.8%	2.1%	2.1%

DEPARTMENTAL COST RATIOS

RATIO TO DEPARTMENTAL REVENUE	SUBJECT	RESORT	INDEPENDENT
Rooms expense	25.0%	25.1%	31.7%
Food and beverage expense	60.0%	72.0%	77.4%

Figures are the 2028 stabilized year of the pro forma; benchmarks are the resort and independent segments of the 2024 United States hotel profitability review. Gross operating profit of 42.0% is 4.8 points above the resort segment, and the replacement reserve at 2.8% is above the 2.1% segment norm and steps to 3.8% by 2029. Three lines run below segment and are flagged rather than smoothed: administrative and general at 6.2%, sales and marketing at 4.3% and property operation and maintenance at 2.4%. Food and beverage cost of 60.0% against a 72.0% segment figure reflects a limited-menu seasonal outlet and event catering rather than a three-meal restaurant. Credit card commissions of 2.9% are carried in undistributed expenses and have no separate segment comparator.

Historical operations and competitive benchmarking.

ACTUAL OPERATIONS

METRIC	2023	2024	2025
Occupancy	27%	32%	33%
Average daily rate	$312	$291	$265
RevPAR	$83	$92	$87
Total revenue	$3.48M	$3.81M	$3.79M
Net operating income	$0.49M	$0.92M	$0.66M
NOI margin	14.0%	24.0%	17.6%

Per operating statements. 2025 is preliminary. 2026 is a transition year and is not presented.

COMPETITIVE BENCHMARKING · YTD DEC 2025

METRIC	OCC	ADR	REVPAR
Wylder Tilghman Island	32.9%	$264.79	$87.00
Competitive set	58.7%	$357.10	$209.75
Submarket	53.1%	$142.06	$75.38
Maryland market	53.3%	$163.10	$86.98
Index to comp set	55.9	74.1	41.5

Source: STR STAR report, December 2025 (year to date). Competitive set comprises four properties and 364 rooms. The 41.5 RevPAR index is the gap the business plan addresses.

The competitive market, supply and demand.

COMPETITIVE MARKET · 2025 PERFORMANCE

PROPERTY · LOCATION	KEYS	OCCUPANCY	ADR	REVPAR
Inn at Perry Cabin · St Michaels	78	55–60%	$745–775	$435–465
Chesapeake Bay Beach Club · Stevensville	77	70–75%	$260–270	$175–205
Tidewater Inn · Easton	89	40–45%	$235–245	$90–120
Hilton Garden Inn · Kent Island Marina	91	65–70%	$210–220	$135–165
Composite property	19	55–60%	$340–360	$185–215
Market total and average	**404**	**56.9%**	**$349.79**	**$199.18**
Wylder Tilghman Island	50	32.9%	$264.79	$87.00

PENETRATION AGAINST THE MARKET

INDEX	2024	2025	TARGET
Occupancy index	59%	58%	–
Rate index	82%	76%	–
RevPAR index	48%	44%	83%

The index fell between 2024 and 2025 because the property was discounting rate while carrying keys out of service — average rate dropped from $291 to $265 against a market holding $350. Rate, not occupancy, is the variance. Recovering it is what the capital program and the affiliation are for.

The market set totals 404 rooms including the subject and a composite of smaller properties. The subject holds 76% of market rate but only 58% of market occupancy, producing a RevPAR index of 44%. The business plan targets 83% of market RevPAR at stabilization — a level still 17% below the market average and below both luxury properties in the set. The STR benchmarking on the preceding page is drawn from a differently constituted set of four properties and 364 rooms; the two are not interchangeable.

MARKET SUPPLY AND DEMAND

YEAR	SUPPLY	DEMAND	OCC	ADR	REVPAR
2019	396	76,475	52.9%	$266	$141
2021	396	82,180	56.8%	$316	$179
2022	407	87,883	59.1%	$317	$187
2023	404	77,581	52.6%	$353	$186
2024	404	79,802	54.1%	$354	$192
2025	**404**	**84,017**	**56.9%**	**$350**	**$199**
TTM March 2026	404	84,809	57.5%	$350	$201
CAGR 2019–2025	0.3%	1.6%	1.2%	4.7%	6.0%

WHAT THE MARKET TREND SUPPORTS

Market supply has been unchanged at approximately 404 rooms since 2022, while demand has grown in each of the last two years and reached a ten-year high of 84,017 room nights in 2025. Trailing twelve-month demand through March 2026 is running 5.6% ahead of the prior period. Market RevPAR has compounded at 6.0% a year since 2019 and stands at a record $199. The projections adopt none of this growth: rate and occupancy for the competitive market are held flat at 2025 levels throughout, so the entire RevPAR gain in the plan is attributed to the renovation, the seven added keys, the expanded marina, the adjacent parcel and the brand affiliation.

MARKET SEASONALITY · MONTHLY OCCUPANCY 2025

PERIOD	OCC	ADR	REVPAR
Peak · June to September	**72.0%**	**$396**	**$285**
Shoulder · April, May, October	64.6%	$355	$231
Trough · November to March	40.0%	$267	$109

Demand is concentrated: four peak months run at 72% occupancy against 40% across the five winter months. Projections are annual averages; interim coverage follows the same pattern. Figures are monthly averages.

Demand figures are annual room nights for the market set. Supply is average rooms available per day.

Drive-to demand, visitation and new supply.

DRIVE-TO LEISURE DEMAND

METROPOLITAN AREA	MILES	POPULATION
Washington, DC	40	6,436,489
Baltimore, MD	43	2,859,024
Richmond, VA	100	1,370,165
Philadelphia, PA	108	6,330,422
New York, NY	186	19,940,274
Within 3.5 hours	–	**36,936,374**

2025 VISITORS
666,400

VISITOR SPENDING
$317M

Talbot County visitation supported 1,944 jobs and $132M of local, state and federal tax receipts in 2025. Source: Talbot County Economic Development and Tourism.

NEW SUPPLY WITHIN THE SUBMARKET

PROPERTY · STATUS	KEYS	MILES
Wilson's Cove · under construction	32	50.7
Microtel Inn & Suites, Easton · planning	81	25.3
Home2 Suites, Salisbury · opened Feb 2026	81	72.6
Home2 Suites, Middletown · proposed	89	76.5

No new supply is under construction within 25 miles. The nearest proposed project is an **81-key economy product 25 miles away, not before Q3 2028**, and none of the pipeline competes with upper-upscale waterfront resort product.

Competitive set supply has been unchanged at 364 rooms across four properties since 2023. Distances measured from the subject.

A $17,404,044 capitalization in three tranches.



TOTAL CAPITALIZATION **$17,404,044**

CAPITAL MEASURES

Senior loan · 1st trust deed	$10,000,000
Preferred equity	$3,904,044
Common equity · LP	$3,500,000
Total capitalization	**$17,404,044**
GP co-investment · sponsor cash	$2,000,000
John Flannigan, invested outside loan proceeds and remaining in the deal	
Senior LTV · as-is	46.73%
Senior LTV · as-stabilized	33.90%
Senior loan to cost	57.46%
Debt and preferred to as-is value	64.97%
Total capitalization per key · 58	**$300,070**

YOUR TERMS

Commitment	$3,904,044
Accrual rate	17.00%
Compounding on the outstanding balance	
Current pay	None · fully accrued
Cash sweep	Applied against the balance
Exit participation	10.00% of equity value at exit
Origination fee	**2.00%**

The preferred equity funds in full at close, behind the senior loan and ahead of all common capital. There is no current-pay obligation; available cash flow sweeps against the balance.

Sources and uses of funds at closing.

SOURCES

Senior loan · 1st trust deed	$10,000,000
57.46% of total · $172,414 per key	
Preferred equity	$3,904,044
22.43% of total · $67,311 per key	
Common equity · LP	$3,500,000
20.11% of total · $60,345 per key	
Total sources	**$17,404,044**

CLOSING, LEGAL AND OTHER DETAIL

Legal — borrower	$65,000
Other closing costs	$40,000
Legal — lender	$15,000
Processing and third-party fees	$10,100
Total closing, legal and other	**$130,100**

USES

Existing loan payoff	$10,714,782
PIP / renovation	$3,003,000
Interest and carry reserve	$1,200,000
Land and house acquisition · 21441 Dogwood Cove	$1,100,000
Working capital	$500,000
Dogwood Cove house renovation	$300,000
Preferred origination fee · 2.0%	$78,081
Preferred equity placement fee · 2.0%	$78,081
Closing, legal and other	$130,100
Other capitalization costs and fees	$300,000
Total uses	**$17,404,044**
Sources less uses	$0

NET FUNDING · PREFERRED EQUITY

Preferred commitment	$3,904,044
Less origination fee · 2.0%	($78,081)
Net preferred funded at close	**$3,825,963**

Maryland mortgage recording tax and stub interest on the existing loan are budgeted at zero and should be confirmed at closing.

Terms of the preferred equity.

COMMITMENT

$3.90M

$67,311 per key

Commitment	$3,904,044
Origination fee	2.00%
Net funded at close	$3,825,963
Share of capitalization	22.43%

ACCRUAL RATE

17.00%

Compounding · no current pay

Current pay	None
Cash sweep	Against the balance
Accrued balance at exit	$1,931,666
Term	3 years

EXIT PARTICIPATION

10.00%

Of equity value at exit

Priority	Behind the senior loan
Capital beneath	$5,500,000
Last-dollar to as-is value	64.97%
Last-dollar per key	$239,725

PRIORITY

The preferred sits behind a single $10,000,000 senior loan and ahead of all common capital. $5,500,000 of common capital funds beneath it at close, including $2,000,000 of sponsor cash that stays in the deal.

SWEEP MECHANICS

There is no current-pay obligation. Property cash flow available after senior debt service sweeps against the preferred balance, reducing it in every year of the term. The roll-forward is on page 22.

PARTICIPATION

The preferred participates in 10.00% of equity value at exit, paid from sale proceeds after the senior principal is repaid and alongside the return of the accrued balance. The projected return on page 23 includes it at every exit value shown.

The cash sweep and the preferred balance.

CASH AVAILABLE TO SWEEP

SOURCE	2026	2027	2028
Net operating income	$1,129,314	$2,315,019	$2,670,611
Senior debt service	($1,200,000)	($1,200,000)	($1,200,000)
Funded from the interest and carry reserve	$1,200,000	–	–
Cash available to the preferred	**$1,129,314**	**$1,115,019**	**$1,470,611**

OPERATING BUILD

MEASURE	2026	2027	2028
Occupancy	33%	38%	40%
Average daily rate	$288	$395	$415
RevPAR	$96	$150	$166
Total revenue	$4,375,938	$6,381,867	$7,082,124
Net operating income	**$1,129,314**	**$2,315,019**	**$2,670,611**

PREFERRED BALANCE ROLL-FORWARD

PERIOD	BEGINNING	ACCRUED 17.00%	SWEPT	ENDING
Year 1 · 2026	$3,904,044	$663,687	($1,129,314)	$3,438,417
Year 2 · 2027	$3,438,417	$584,531	($1,115,019)	$2,907,929
Year 3 · 2028	$2,907,929	$494,348	($1,470,611)	$1,931,666
Accrued balance repaid at exit	–	–	–	**$1,931,666**

TOTAL SWEPT
$3,714,944
Over the 3-year term

BALANCE AT EXIT
$1,931,666
49% of the commitment

BALANCE REDUCTION
51%
From sweep over the term

2026 is the renovation year. Senior debt service is paid from the interest and carry reserve funded at close, so the full $1,129,314 of net operating income is available to sweep against the preferred balance in year one.

The sweep reduces the preferred balance from $3,904,044 at close to $1,931,666 at exit — a 51% reduction — even though the position accrues at 17.00% throughout and carries no current-pay obligation. Cash flow detail is on pages 13 and 14.

Preferred equity return across exit values.

FOR THE PREFERRED EQUITY INVESTOR · NOT FOR DISTRIBUTION

GROSS EXIT VALUE	$18M	$21M	$24M	$27M	$30M	$33M	$36M
Implied cap rate on year 3 NOI	14.84%	12.72%	11.13%	9.89%	**8.90%**	8.09%	7.42%
Implied value per key	$310,345	$362,069	$413,793	$465,517	**$517,241**	$568,966	$620,690
Cash swept over the term	$3,714,944	$3,714,944	$3,714,944	$3,714,944	**$3,714,944**	$3,714,944	$3,714,944
Accrued balance repaid at exit	$1,931,666	$1,931,666	$1,931,666	$1,931,666	**$1,931,666**	$1,931,666	$1,931,666
Exit participation · 10.00%	$728,000	$1,016,000	$1,304,000	$1,592,000	**$1,880,000**	$2,168,000	$2,456,000
Last-dollar exposure to exit value	66.29%	56.82%	49.72%	44.19%	**39.77%**	36.16%	33.14%
Preferred equity — total cash received	$6,374,610	$6,662,610	$6,950,610	$7,238,610	**$7,526,610**	$7,814,610	$8,102,610
Preferred equity — profit	**$2,548,647**	**$2,836,647**	**$3,124,647**	**$3,412,647**	**$3,700,647**	**$3,988,647**	**$4,276,647**
Equity multiple	**1.67x**	**1.74x**	**1.82x**	**1.89x**	**1.97x**	**2.04x**	**2.12x**
IRR	**23.7%**	**25.7%**	**27.7%**	**29.6%**	**31.5%**	**33.3%**	**35.0%**

BASE-CASE MULTIPLE

1.97x

$30M exit

BASE-CASE IRR

31.5%

3-year hold

NET FUNDED BASIS

$3,825,963

Commitment less the fee

TOTAL CASH RECEIVED

$7,526,610

Sweep, balance, participation

Return is measured on the **$3,825,963 net funded basis** — the $3,904,044 commitment less the 2.00% origination fee. Cash received is $3,714,944 swept against the balance over the term, the $1,931,666 accrued balance repaid at exit and the 10.00% participation in equity value at exit. The participation is the only variable: the sweep and the accrued balance are unchanged at every exit value shown. Last-dollar exposure is the senior and preferred capital as a share of gross exit value. Exit values span $18M to $36M on a 4.0% cost of sale and a 3-year hold. Implied cap rates are on year-three net operating income.

Position in the stack and downside coverage.

CAPITAL BENEATH THE PREFERRED

$5.50M

Including $2,000,000 of sponsor cash

Common equity · LP	$3,500,000
Sponsor cash invested	$2,000,000
Total beneath the preferred	$5,500,000
Share of total basis	28.57%

LAST-DOLLAR TO STABILIZED VALUE

47.13%

On the April 2029 estimate

As-is	64.97%
Upon completion	53.48%
Upon stabilization	47.13%
Last-dollar per key	$239,725

COVERAGE AT THE LOWEST EXIT SHOWN

1.45x

Net proceeds to senior principal and the accrued balance at a $18M sale

Gross exit value	$18,000,000
Net of a 4.0% cost of sale	$17,280,000
Senior principal and accrued balance	$11,931,666
Proceeds to that total	1.45x

POSITION

A single $10,000,000 senior loan sits ahead of the preferred and there is no other debt on the asset. $5,500,000 of common capital stands beneath it, including $2,000,000 of sponsor cash already invested and remaining in the deal.

DELEVERAGING

The sweep takes the balance down 51% over the term while the estimated value rises from $21.4M to $29.5M, so last-dollar exposure falls from 64.97% to 47.13% of estimated value.

FUNDED RISK

The $3,003,000 renovation program and the twelve-month interest and carry reserve are both funded from the capitalization at close, with $258,000 of contingency. Neither depends on operating cash flow during the program.

Total cost basis and the renovation program.

ACQUISITION

Acquisition and capital expenses	$10,714,782
Land and house acquisition · 21441 Dogwood Cove	$1,100,000
Sponsor cash equity outside loan proceeds	$2,000,000
Total acquisition	**$13,814,782**

OTHER COSTS

Interest and carry reserve	$1,200,000
Working capital	$500,000
Financing fees	$300,000
Closing, legal and mortgage tax	$120,000
Processing and third-party fees	$10,100
Total other costs	**$2,130,100**

Total cost basis	**$19,247,882**
Cost basis per key · 58 keys	**$331,860**

RENOVATION PROGRAM

Room renovation	$1,425,000
Marina replacement and expansion	$250,000
Replace three-bedroom house	$500,000
Interior public space and FF&E	$50,000
Convert boat bar	$50,000
Exterior and interior improvements	$300,000
Contingency	$258,000
Professional fees	$170,000
Dogwood Cove house renovation	$300,000
Total renovation program	**$3,303,000**

COST BASIS / KEY	CAPITALIZATION / KEY	AS-COMPLETE / KEY	STABILIZED / KEY
$331,860	**$300,070**	**$448,276**	**$508,621**
58 keys	*Funded at close*	*April 2027*	*April 2029*

START AND COMPLETION DATES

Rooms, house, FF&E and exterior work	Nov 1, 2026 → Apr 15, 2027
Marina replacement and expansion	Nov 1, 2026 → Dec 15, 2026
Event space upgrade	Jan 4, 2027 → Feb 2, 2027
Punch list to completion	**Apr 1, 2027 → Apr 30, 2027**

The basis includes **$2,000,000 of sponsor cash already invested** outside loan proceeds — the same capital that stands as the GP's pari passu interest in the partnership. The capitalization on page 19 funds $17,404,044 of this basis; a further $642,693 was invested in the hotel between 2021 and 2025, outside the plan at right.

The renovation program is funded at close from the capitalization. The schedule by trade is on page 10. Per-key figures are stated on 58 keys — the 57 hotel keys post-renovation plus the Dogwood Cove residence. The estimated values are for the hotel and exclude the adjacent parcel.

Estimated value positioned against market evidence.

PER-KEY POSITIONING

MEASURE	AMOUNT	PER KEY
Debt and preferred · last dollar	$13.90M	$239,725
Total cost basis	$19.25M	$331,860
Estimated as-is	**$21.40M**	**$368,966**
Estimated upon completion	$26.00M	$448,276
Estimated upon stabilization	**$29.50M**	**$508,621**
Waterfront sales · weighted avg	$18.05M	$396,000
Waterfront sales · median	$15.00M	$397,000
Recent resort trades · weighted avg	$20.28M	$463,000
Recent resort trades · median	$10.75M	$332,000

Values are stated for underwriting purposes and are subject to completion of the renovation and stabilization of operations. They are for the hotel and **do not include the adjacent Dogwood Cove parcel**, whose value is set out on page 5. Per-key figures on 58 keys. Comparable per-key figures are on each property's own key count.

THE POSITION

The as-is estimate of **$368,966 per key sits below the average of both comparable sets** — the East Coast waterfront sales and the eight resort trades closed since January 2025 — and between the median and the average of the more recent set.

The stabilized estimate of **$508,621 per key** sits below the two highest recent resort trades, at $741,000 and $893,000 per key, and is reached only after a $3,303,000 capital program, the adjacent-parcel acquisition and brand affiliation.

The total cost basis of **$331,860 per key remains below the as-is estimate**, and the preferred last dollar attaches at $239,725 per key. Every value above is for the hotel alone; the adjacent parcel adds roughly $4.3 million of value against a $1.4 million cost, none of which is in these figures.

AS-IS VS WATERFRONT SALES AVG
6.8% below

DEBT + PREFERRED VS AS-IS ESTIMATE
65.0%

Comparable hotel sales, resort and local.

EAST COAST WATERFRONT RESORT SALES

PROPERTY · MARKET	YEAR	KEYS	$/KEY
Haven Montauk, NY · renovated	2023	26	$577K
Sands Motel, Montauk, NY	2024	43	$541K
Brass Lantern Inn, Nantucket, MA	2023	17	$441K
Elizabeth Pointe, Fernandina Bch, FL	2024	25	$410K
Beachside Hotel, Nantucket, MA	2021	94	$404K
Sandpiper Gulf Resort, Ft Myers, FL	2023	63	$397K
Montreal Beach Resort, Cape May, NJ	2021	70	$329K
Creekside Inn, Plantation Key, FL	2021	38	$329K
Weighted average · 11 sales	**2022**	**46**	**$396K**
Median · 11 sales	**2022**	**38**	**$397K**

Limited- and full-service waterfront hotels on the East Coast, 2021–2024. Not adjusted for date of sale, condition, location or scale.

LOCAL EASTERN SHORE TRANSACTIONS

PROPERTY · TOWN	YEAR	KEYS	$/KEY
Hambleton Inn, Saint Michaels	2024	7	$354K
Mariners Motel, Rock Hall	2025	12	$200K
Robert Morris Inn, Oxford	2024	16	$200K
Oaks Waterfront Inn, Royal Oak	2022	15	$190K
Great Oak Landing, Chestertown	2020	28	$169K
The Wildset, Saint Michaels	2020	20	$160K
Bartlett Pear Inn, Easton	2021	8	$125K
Kitty Knight House, Georgetown	2021	12	$117K

Local transactions range from **7 to 28 keys** and comprise historic inns, bed-and-breakfasts and mid-century motels without food and beverage outlets, marina or event facilities. They establish small-inn pricing on the Eastern Shore rather than resort pricing, and are not comparable in scale, product or income base to a 58-key waterfront resort.

The subject carries two food and beverage outlets, 23 boat slips, a 3,722 SF event space and a saltwater pool — none present in the local set.

Recent transaction evidence and local market activity.

RECENT RESORT AND WATERFRONT HOTEL SALES

PROPERTY · MARKET	DATE	KEYS	$/KEY
The Asticou Hotel · Northeast Harbor, ME	Mar 26	82	$741K
Marginal Way House · Ogunquit, ME	Nov 25	30	$333K
Beacon Suites Hotel · Somerville, MA	Nov 25	35	$266K
Sandy Point Beach Resort · Alton Bay, NH	Oct 25	25	$331K
White Barn Inn · Kennebunk, ME	Aug 25	28	$893K
The Bayview Hotel · Bar Harbor, ME	May 25	26	$285K
The Sparhawk Resort · Ogunquit, ME	Jan 25	89	$337K
The Breakwater Inn & Spa · Kennebunkport, ME	Jan 25	35	$329K
Weighted average · eight sales	–	**44**	**$463K**
Median · eight sales	–	–	**$332K**

Independent resort and waterfront hotels transacted between January 2025 and March 2026, averaging 44 keys. Not adjusted for date of sale, condition, location or scale.

EASTERN SHORE MARKET ACTIVITY

PROPERTY · TOWN	STATUS	KEYS	$/KEY
Tilghman Island Inn · Tilghman	Under contract	20	$260K
Robert Morris Inn · Oxford	Closed, relisted	16	$200K
The Tidewater Inn · Easton	To market 2026	89	–

> The **Tilghman Island Inn** is the nearest transaction and is reported under contract at $5,200,000. It is a **20-key upper-midscale property configured as condominium units** on five acres, with 1,800 SF of meeting space and seven slips. It carries neither the key count, the two food and beverage outlets, the marina, the 3,722 SF of event space nor the income base of the subject, and it establishes small-inn pricing on the island rather than resort pricing.

WHAT THE LOCAL SET DOES ESTABLISH

The **Tidewater Inn**, an 89-key full-service hotel in Easton, is expected to be brought to market in 2026 and reported 2025 occupancy of 48% at a $238 average rate on approximately $950,000 of net operating income. It is the only property in the local set operating at institutional scale, and it does so at a rate 43% below the subject's $415 stabilized projection and without waterfront, marina or resort positioning. The **Robert Morris Inn** in Oxford, 16 keys, traded at $200,000 per key in 2024 and is now closed and back on the market at a lower asking price. The local evidence brackets the subject rather than pricing it: small and partly distressed inns below, and a single larger property in a materially different product tier.

The eight resort transactions at left average 44 keys, closely matching the subject at 58, and support a per-key range of $266,000 to $893,000 with a median of $332,000. The estimated as-is value of $368,966 per key sits between that median and the average.

Contact and next steps.

The financial model, historical operating statements, the purchase and sale agreement on the adjacent parcel and sponsor materials are available on request.

COMMITMENT	ACCRUAL RATE	EXIT PARTICIPATION
$3,904,044	17.00%	10.00%



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